

26VECV03129 26VECV03129

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-08-20

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Case Number: 26VECV03129 Hearing Date: August 20, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

SHIVA SHAHRIARI,

Plaintiff,

vs.

HYUNDAI

MOTOR AMERICA, a corporation; and DOES 1 through 10, inclusive,

Defendant.

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CASE NO.: 26VECV03129

ORDER

GRANTING DEFENDANT’S MOTION TO COMPEL ARBITRATION

I.

BACKGROUND

This is a lemon law case arising out of Plaintiff Shiva Shahriari’s (“Plaintiff”) purchase of a 2024 Hyundai Palisade (“Subject Vehicle”) from Defendant Hyundai Motor America (“Hyundai”). Plaintiff’s Complaint alleges: (1) Violation of Song-Beverly Act Breach of Express Warranty; (2) Violation of Song-Beverly Act Breach of Implied Warranty; and (3) Violation of Business and Professions Code § 17200.

Defendant moves to compel arbitration.

II.

PROCEDURAL
HISTORY

On May 28,
2026, Plaintiff filed a Complaint.

On July 20,
2026, Hyundai filed the instant Motion to Compel Arbitration.

On August 12,
2026, Plaintiff filed an Opposition.

As of August
18, 2026, no reply has been filed.

III.

LEGAL STANDARD

Parties may
be compelled to arbitrate a dispute upon the court finding that: (1) there was
a valid agreement to arbitrate between the parties; and (2) said agreement
covers the controversy or controversies in the parties' dispute. (See
Code Civ. Proc. § 1281.2.) [1] California
law favors enforcement of valid arbitration agreements. (See *Armendariz*
v. Foundation Health΄Psychcare΄Services, Inc.΄(2000) 24
Cal.4th 83, 97.) A party petitioning to compel arbitration has the burden
of΄establishing΄the existence
of a valid agreement to arbitrate and the party opposing the petition has the
burden of proving, by a preponderance of the evidence, any fact necessary to
its defense. (*Banner*
Entertainment, Inc. v. Superior Court΄(1998) 62
Cal.App.4th 348, 356-357.)΄ ΄

"If a court
of competent jurisdiction . . . has ordered arbitration of a controversy which
is an issue involved in an action or proceeding pending before a court of this
State, the court in which such action or proceeding is pending shall, upon
motion of a party to such action or proceeding, stay the action or proceeding
until an arbitration is had in accordance with the order to arbitrate or until
such earlier time as the court specifies." (Code Civ. Proc. § 1281.4.)

"California
courts traditionally have maintained a strong preference for arbitration...To
this end, arbitration agreements should be liberally construed, ... with doubts
concerning the scope of arbitrable issues being resolved in favor of
arbitration." (*Market Ins. Corp. v. Integrity Ins. Co.* (1987) 188
Cal.App.3d 1095, 1098 (cleaned up).)

California

law incorporates many of the basic policy objectives contained in the Federal Arbitration Act ("FAA"), including a presumption in favor of arbitrability. (See *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 971-972.) Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (See *Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.)

"The party

seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement." (*Avila v. Southern Cal. Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 844.) The party opposing the petition to compel arbitration bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (See *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284.)

In deciding a

motion to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties and then determine whether the claims are covered within the scope of the agreement. (See *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.)

IV.

ANALYSIS

A.

Judicial Notice

The Court

denies Hyundai's request for judicial notice of Plaintiff's Complaint because judicial notice is not required of matters already in an instant case's docket. The Court also denies the request as to the 2024 Owner's Handbook and Warranty Information because the Court considers that document as an exhibit to the Declaration of Anthony Goel.

B.

Existence and Scope of Arbitration
Agreement

The moving

party can meet its initial burden of proving the existence of an arbitration agreement by attaching a copy of the agreement to the motion bearing the signature of the opposing party. (See *Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 541-543 [“The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature.”].)

Alternatively, the moving party can meet its initial burden by setting forth the agreement’s provisions in the motion. (See Rules of Court, rule 3.1330; see also *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.)

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal. App. 5th 158, 165.) The evidence must be sufficient to create a factual dispute to shift the burden back to the arbitration proponent who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. (See *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

1.

Warranty Handbook

a.

Existence of Agreement

Hyundai

relies on its express written warranty (“Warranty”) that accompanied the sale of Plaintiff’s vehicle. Hyundai contends Plaintiff is bound by an arbitration provision contained in the 2024 Owner’s Handbook and Warranty Information (“Warranty Handbook”) that purportedly accompanied the purchase of the Vehicle. (See Declaration of Anthony Goel filed on July 20, 2026 (“Goel Decl.”), ¶¶ 5-6.) Hyundai attaches a copy of the Warranty and attests Plaintiff did not opt out of the arbitration provision. (See *id.*, ¶¶ 6, 14, Ex. E at 12-15.)

In relevant part, the Warranty’s “Arbitration Agreement” states:

BINDING

ARBITRATION FOR CALIFORNIA VEHICLES ONLY...

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

...

We will pay all fees for any arbitration except for the initial filing fee of \$200. The arbitration will be held in the city or county of your residence.

...

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS...

(Id.)

Hyundai argues Plaintiff is bound by the Warranty Handbook's arbitration provision on grounds of equitable estoppel. (See Mot. at 8:24-28, citing *Boucher v. All. Title Co.* (2005) 127 Cal.App.4th 262, 268.) Hyundai argues

Plaintiff's claims rely on the Warranty and before filing suit, Plaintiff accepted benefits under the Warranty by receiving warranty repairs or services between September 2025 and April 2026. (See Goel Decl., ¶ 18, Ex. F; Mot. at 10:11-20, citing *Ford v. Hyundai Motor Am.* (C.D. Cal. Oct. 5, 2021) 2021 WL 7448507, at *8 [not reported].)

In opposition, Plaintiff argues Hyundai has failed to provide proof of a written contract. (See Opp. at 3:16-18.) Plaintiff argues there is no contract because there is no evidence he signed the Warranty Handbook or received it as part of his purchase of the Subject Vehicle. (See Opp. at 4:23-24, 5:21-27, citing *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279, 1286.) Plaintiff argues equitable estoppel does not apply here because Plaintiff brought her claims against Hyundai based on the warranties received directly from Hyundai and not on the Retail Installment Sales Contract. (See *id.*, at 7:15-17.)

Hyundai meets its initial burden of showing the existence of the Arbitration Agreement by attaching a copy of the Warranty Handbook. Although the Warranty Handbook is not signed by Plaintiff, the Court finds arbitration is appropriate on grounds of equitable estoppel. A nonsignatory may be compelled to arbitrate on the theory of estoppel. (See *Benaroya v. Willis* (2018) 23 Cal.App.5th 462, 469 [where there is an enforceable contract, absence of a signature does not necessarily preclude enforcement of arbitration clause on grounds of estoppel].) “[A] party may be estopped from asserting that the lack of his signature on a written contract precludes enforcement of the contract’s arbitration clause when he has consistently maintained that other provisions of the same contract should be enforced to benefit him. [¶] A nonsignatory is estopped from refusing to comply with an arbitration clause “when it receives a ‘direct benefit’ from a contract containing an arbitration clause.” [Citations.]” (*Boucher*, 127 Cal.App.4th at 269 quoting (*International Paper Co. v. Schwabedissen Maschinen & Anlagen GMBH* (4th Cir.2000) 206 F.3d 411, 417, fn. 4.)

Under California law, the essential elements of contract formation are: (1) the parties are capable of contracting; (2) the parties’ consent; (3) a lawful object; and (4) sufficient cause or consideration. (See *Norcia v. Samsung Telecommunications*

America, LLC (9th Cir. 2017) 845 F.3d 1279, 1284 [citing Civ. Code § 1550.] “A contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract.” (Com. Code § 2204(1).) “An offeree’s silence may also be treated as consent to a contract when the party retains the benefit offered... Even if there is an applicable exception to the general rule that silence does not constitute acceptance, courts have rejected the argument that an offeree’s silence constitutes consent to a contract when the offeree reasonably did not know that an offer had been made.” (See Norcia, 845 F.3d at 1285 [citing Windsor Mills, Inc. v. Collins & Aikman Corp. (1972) 25 Cal.App.3d 987, 993] but see Cavalry SPV 1, LLC v. Watkins (2019) 36 Cal.App.5th 1070, 1081 [a “party may accept a contract by conduct, as well as by words.”].)

Here,

Plaintiff has sued under Hyundai’s warranties. The Warranty states in bold capitalized font: BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. (See Goel Decl., ¶ 6, Ex. E at 14.) Plaintiff brings claims arising from Hyundai’s warranties and alleges he repeatedly presented the vehicle to Hyundai’s authorized service facility for warranty repairs. (See Compl., ¶ 14.) Hyundai’s Warranty Claim History for the Subject Vehicle further reflects that repairs were performed under the new vehicle limited warranty at an authorized Hyundai dealership in 2025 and 2026. (See Goel Decl., ¶ 18, Ex. F.) Plaintiff does not meet its burden in challenging the agreement as he does not provide evidence showing that he never received a copy of the Warranty Handbook or never received knowledge of the arbitration provision or disputed its terms. Accordingly, the Court finds the Warranty Handbook established a contract between the parties based on Plaintiff’s seeking repairs under the Warranty. Thus, Plaintiff is estopped from denying the enforceability of its arbitration provision.

Hyundai has

thus shown the existence of a valid arbitration agreement and that Plaintiff may be compelled to arbitrate on grounds of estoppel.

a.

Scope of Agreement

Hyundai

argues Plaintiff's claims are covered by the scope of the Arbitration Agreement contained in the Warranty. (See Mot. at 12.) The Court agrees. Plaintiff's Song-Beverly claims fall within the scope of the Warranty's Arbitration Agreement requiring "any claim or disputes...related to or arising out of your vehicle purchase...the performance of the vehicle, any service relating to the vehicle, the vehicle warranty..." to be arbitrated.

Thus, the

Court finds Plaintiff's claims are covered within the scope of the Arbitration Agreement. The Court declines to consider whether Hyundai may compel arbitration under the Connected Services Agreement ("CSA").

C.

Unconscionability

"[P]rocedural

and substantive unconscionability must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 102.) The courts invoke a sliding scale, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa. (See id. at 114.) Plaintiff bears the burden of proving the provision at issue is both procedurally and substantively unconscionable.

"The

procedural element of unconscionability focuses on whether the contract is one of adhesion." (Armendariz, 24 Cal.4th at p. 113; see also Mercuro v. Superior Court (2002) 96 Cal.App.4th 167, 174.) "Procedural unconscionability focuses on the elements of oppression and surprise. [Citations] 'Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice ... Surprise involves the extent to which the terms of the bargain are hidden in a 'prolix printed form' drafted by a party in a superior bargaining position.' [Citations]" (Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1469.)

"Substantive

unconscionability focuses on the actual terms of the agreement and evaluates whether they create 'overly harsh' or "one-sided' results' [Citations] that is, whether contractual provisions reallocate risks in an objectively unreasonable or unexpected manner. [Citation] Substantive unconscionability 'may take various forms,' but typically is found in the employment context when the arbitration agreement is 'one-sided' in favor of the employer without sufficient justification, for example, when 'the employee's claims against the employer, but not the employer's claims against the employee, are subject to arbitration.' [Citations]" (Roman, 172 Cal.App.4th at 1469-70.)

Plaintiff

argues the terms of the purported arbitration clause are substantively unconscionable because they (1) deprive Plaintiff the choice of arbitrator, (2) improperly shift fees and costs of arbitration onto Plaintiff, and (3) deprives Plaintiff the right to jury trial. (See Opp. at 1:10-13.)

The Court

does not find the Arbitration Agreement is substantively unconscionable nor its terms to be "so one-sided as to 'shock the conscience.'" (See Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 246.) The Court finds the Arbitration Agreement provides for a neutral arbitrator. The terms of the Arbitration Agreement provide that the parties utilize American Arbitration Association and their Consumer Arbitration Rules. (See Armendariz, 24 Cal.4th 83, 102 [one requirement for lawful arbitration is that an agreement "provides for neutral arbitrators"].) The Court also finds the Arbitration Agreement does not require the parties to pay unreasonable costs and fees to access an arbitration forum. The terms provide that Hyundai "will pay all fees for any arbitration except for the initial filing fee of \$200." (See Armendariz, 24 Cal.4th 83, 102 [one requirement for lawful arbitration is that an agreement "does not require [parties] to pay either unreasonable costs or any arbitrators' fees or expenses as a condition of access to the arbitration forum"].) The Arbitration Agreement is bilateral and provides that either party may compel the other to arbitrate in lieu of a jury trial.

Because the Arbitration

Agreement is not substantively unconscionable, and Plaintiff makes no showing that it is procedurally unconscionable to a high degree, Hyundai can enforce the Arbitration Agreement.

The Court

therefore GRANTS Hyundai's Motion to Compel Arbitration and denies Hyundai's request for costs pursuant to Code of Civil Procedure § 1293.2.[2]

V.

CONCLUSION

Based on the

foregoing, the Court GRANTS Hyundai's Motion to Compel Arbitration and denies Hyundai's request for costs pursuant to Code of Civil Procedure § 1293.2.

The Court

sets a Status Conference re: Arbitration on August 20, 2027, at 8:30 a.m.

The parties

are ordered to file a Joint Status Update no later than August 13, 2027.

IT

IS SO ORDERED.

DATED: August 20, 2026

Hon. Michael R. Amerian

Judge,

Superior Court

[1] All statutory references

are to California codes unless stated otherwise.

[2] Code of Civil Procedure § 1293.2 addresses the matter of costs in judicial proceedings relating to arbitration. (See Carole Ring &

Associates v Nicastro (2001) 87 Cal.App.4th 253, 260.) A court, pursuant to the statute, must award costs in a judicial proceeding to confirm, correct, or vacate an arbitration award. (See Code Civ. Proc. § 1293.2; Corona v Amherst Partners (2003) 107 Cal.App.4th 701, 707. "This provision, however, only encompasses those actions which have reached a final determination." (Green v. Mt. Diablo Hospital Dist. (1989) 207 Cal.App.3d 63, 77.) "[T]here

could be no final determination between the parties at the time of a motion to compel arbitration.” (Id., at 76, citing *Lachkar v. Lachkar* (1986) 182 Cal.App.3d 641, 646-47.)